الطالب الأكاديمي
THE ACADEMIC STUDENT

Faculty of Business Studies

ACC204

Intermediate Financial Accounting

Mid-term Examination - Makeup – Version A
Second Semester 2024-2025

22 – April – 2025

Number of Pages: 3 (including this cover sheet)	**Time Allowed: 90 minutes**

Instructions:

Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
This is a **CLOSED** book examination. NO documents of any kind are allowed.
You **MUST** answer the questions using only the answer booklets provided.
You **MUST** return the examination paper together with your answer booklets.
Do **NOT** write your answers in pencil except graphs/sketches.
Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
Students are allowed to use ***non-programmable*** calculators only (if needed).
Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

الطالب الأكاديمي THE ACADEMIC STUDENT www.asckwt.com

- **Question 1 (20 marks):**

a. For various reasons, companies often reacquire their own shares. List five reasons as to why companies might buy back their own shares. (10 marks)
b. Distinguish between ordinary shares and preference shares; how do they differ to one another? (10 marks)

- **Question 2 (40 marks):**

Rensing Inc., has $400,000 of 8% preference shares and $600,000 of ordinary shares outstanding. No dividends have been paid or declared during 2021 and 2022. As of December 31, 2023, Rensing Inc. is to distribute $244,000 in dividends.

Required:
How much will the preference and ordinary shareholders receive under each of the following assumptions:

a. The preference is noncumulative and nonparticipating.
b. The preference is cumulative and nonparticipating.
c. The preference is noncumulative and fully participating.
d. The preference is cumulative and fully participating.

- **Question 3 (40 marks):**

Barone Corporation issues 3,000 convertible bonds at January 1, 2011. The bonds have a three year life, and are issued at par with a face value of €1,000 per bond, giving total proceeds of €3,000,000. Interest is payable annually at 6 percent. Each bond is convertible into 250 ordinary shares (par value of €1). When the bonds are issued, the market rate of interest for similar debt without the conversion option is 8%.

Required:
a) Compute the liability and equity component of the convertible bond on January 1, 2011.
b) Prepare the journal entry to record the issuance of the convertible bond on January 1, 2011.
c) Prepare the journal entry to record the conversion on January 1, 2012.
d) Assume that the bonds were repurchased on January 1, 2012, for €2,910,000 cash instead of being converted. The net present value of the liability component of the convertible bonds on January 1, 2012, is €2,850,000. Prepare the journal entry to record the repurchase on January 1, 2012.

[End of Questions]

الطالب الأكاديمي THE ACADEMIC STUDENT www.asckwt.com

Table 1: Present Value of $1 where $PV = 1 / (1 + r)^n$

Periods (n)	Interest Rate (r)									
	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	0.9901	0.9804	0.9709	0.9615	0.9524	0.9434	0.9346	0.9259	0.9174	0.9091
2	0.9803	0.9612	0.9426	0.9246	0.9070	0.8900	0.8734	0.8573	0.8417	0.8264
3	0.9706	0.9423	0.9151	0.8890	0.8638	0.8396	0.8163	0.7938	0.7722	0.7513
4	0.9610	0.9238	0.8885	0.8548	0.8227	0.7921	0.7629	0.7350	0.7084	0.6830
5	0.9515	0.9057	0.8626	0.8219	0.7835	0.7473	0.7130	0.6806	0.6499	0.6209
6	0.9420	0.8880	0.8375	0.7903	0.7462	0.7050	0.6663	0.6302	0.5963	0.5645
7	0.9327	0.8706	0.8131	0.7599	0.7107	0.6651	0.6227	0.5835	0.5470	0.5132
8	0.9235	0.8535	0.7894	0.7307	0.6768	0.6274	0.5820	0.5403	0.5019	0.4665
9	0.9143	0.8368	0.7664	0.7026	0.6446	0.5919	0.5439	0.5002	0.4604	0.4241
10	0.9053	0.8203	0.7441	0.6756	0.6139	0.5584	0.5083	0.4632	0.4224	0.3855
11	0.8963	0.8043	0.7224	0.6496	0.5847	0.5268	0.4751	0.4289	0.3875	0.3505
12	0.8874	0.7885	0.7014	0.6246	0.5568	0.4970	0.4440	0.3971	0.3555	0.3186
13	0.8787	0.7730	0.6810	0.6006	0.5303	0.4688	0.4150	0.3677	0.3262	0.2897
14	0.8700	0.7579	0.6611	0.5775	0.5051	0.4423	0.3878	0.3405	0.2992	0.2633
15	0.8613	0.7430	0.6419	0.5553	0.4810	0.4173	0.3624	0.3152	0.2745	0.2394

Table 2: Present Value of $1 Annuity where $PV = [1 - (1 + r)^{-n}] / r$

Periods (n)	Interest Rate (r)									
	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	0.9901	0.9804	0.9709	0.9615	0.9524	0.9434	0.9346	0.9259	0.9174	0.9091
2	1.9704	1.9416	1.9135	1.8861	1.8594	1.8334	1.8080	1.7833	1.7591	1.7355
3	2.9410	2.8839	2.8286	2.7751	2.7232	2.6730	2.6243	2.5771	2.5313	2.4869
4	3.9020	3.8077	3.7171	3.6299	3.5460	3.4651	3.3872	3.3121	3.2397	3.1699
5	4.8534	4.7135	4.5797	4.4518	4.3295	4.2124	4.1002	3.9927	3.8897	3.7908
6	5.7955	5.6014	5.4172	5.2421	5.0757	4.9173	4.7665	4.6229	4.4859	4.3553
7	6.7282	6.4720	6.2303	6.0021	5.7864	5.5824	5.3893	5.2064	5.0330	4.8684
8	7.6517	7.3255	7.0197	6.7327	6.4632	6.2098	5.9713	5.7466	5.5348	5.3349
9	8.5660	8.1622	7.7861	7.4353	7.1078	6.8017	6.5152	6.2469	5.9952	5.7590
10	9.4713	8.9826	8.5302	8.1109	7.7217	7.3601	7.0236	6.7101	6.4177	6.1446
11	10.3676	9.7868	9.2526	8.7605	8.3064	7.8869	7.4987	7.1390	6.8052	6.4951
12	11.2551	10.5753	9.9540	9.3851	8.8633	8.3838	7.9427	7.5361	7.1607	6.8137
13	12.1337	11.3484	10.6350	9.9856	9.3936	8.8527	8.3577	7.9038	7.4869	7.1034
14	13.0037	12.1062	11.2961	10.5631	9.8986	9.2950	8.7455	8.2442	7.7862	7.3667
15	13.8651	12.8493	11.9379	11.1184	10.3797	9.7122	9.1079	8.5595	8.0607	7.6061

الطالب الأكاديمي THE ACADEMIC STUDENT www.asckwt.com